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Chapter 3

Advanced Financial Integrator

Overview



Introduction

Any business must collate its financial information in ledgers to provide a basis for analysis and decision making. The Advanced Financial Integrator (AFI) enables values (for example costs, or statistical information) generated in other applications to be sent to one of the following:

- Required target accounts within General Ledger. This could be either financial or statistical information. If you are posting to both General Ledger (GL) and Advanced Business Costing (ABC) you might post financial information to GL and both financial and statistical information to ABC.
- Required analysis codes within Advanced Business Costing. This will normally consist of statistical as well as financial information.



Note: How and when these updates occur, and the format of the postings, is in your control. For this reason, extensive use should be made of the test and simulation facilities before activating AFI.

All postings generated within AFI are directed to previously defined accounts in the General Ledger or to previously defined codes in Advanced Business Costing.

General Ledger

When defining an AFI-to-GL link, account codes nominated as suspense or default accounts are validated to ensure they exist in the GL.

If, in setting up an account code generation rule in AFI, the account code structure of an existing ledger is used (i.e. profit & loss, balance sheet), then that ledger must previously have been defined along with the accounts to which AFI is required to post.

Advanced Business Costing

When defining an AFI-to-ABC link, the system does not check that the codes exist in ABC.

No validation is made of the allocation objects and lines from within AFI; the validation occurs in ABC after the AFI-to-ABC interface has been run.

Applications Used by AFI

Source Applications

Any application which provides AFI with data to send to General Ledger or Advanced Business Costing is called a 'source application'.

The following are some examples of source applications which can be used with AFI:

- Inventory Management (standard, Style and Drinks versions)
- Sales Order Processing (standard, Style and Drinks versions)
- Purchase Management
- World Trade
- All Production Modules
- Service Management
- General Ledger

Each source application has its own extract routine, which finds the information defined for financial analysis, and extracts the posting value.

The introduction of new source applications is a continuing development.

Target Applications

Any application to which AFI sends data from a source application is called a 'target application'.

The following are the target applications which can be used with AFI:

- General Ledger
- Advanced Business Costing

Posting Across Companies

Information from different source companies can be posted to a single General Ledger or Advanced Business Costing company, and information from a single source company can be posted to a number of General Ledger or Advanced Business Costing companies.

Prerequisites

The following are the prerequisites for the installation of AFI:

1. General Ledger must be installed and implemented, with the account codes defined, whether or not you wish to post from AFI to GL. Remember that AFI will not create new accounts / analysis codes for you, it will only post to accounts or codes previously set up.
2. Advanced Business Costing must be installed and implemented if you wish to post from AFI to ABC.
3. At least one source application must be installed and implemented, being the application from which data will be extracted for posting.
4. It is important to ensure that both the target and source applications are at the right PTF level to support the implementation of AFI.

Implementation Steps

The steps to implement AFI are as follows:

1. Take *Maintain Application* from the AFI Utilities menu, and do the following:
 - Ensure that the Integrator link status is set to 'inactive' for each of your source applications.
 - Set the default company codes for the source application and the target application, and set the parameters which govern consolidation and automatic posting.
 - Specify whether you want to post to Advanced Business Costing.
 - Nominate a General Ledger suspense account for each General Ledger company to which you expect to post journals using AFI. The suspense accounts must have been set up already within the relevant General Ledger companies.
2. Create the AFI rules which determine how the data from each source application will be manipulated to create the required postings.

This is done by setting up journal conditions and posting definitions, which are the only mandatory options on the Maintenance menu. Account code rules, data conversion codes and template definitions are only required where AFI is to be used to generate account codes based on data read from the source application.

It is recommended that journal conditions be set to 'under test' until testing has been completed.

3. Use the test extract options on the source applications' Utilities menus to test thoroughly the AFI rules you have defined. Check the printed reports to ensure that the results meet your expectations.

The trial extract facilities are used solely to reproduce, on paper, the results of using AFI to generate postings. No data is updated.

4. Once you are satisfied that AFI is producing the results you require, activate it as follows:

- Take Journal Conditions to change the status of each journal condition you wish to use from 'under test' to 'live'.
- Take Maintain Application to set the Integrator link status to 'active'. You can only do this if there is a journal condition set up which will cause data to be extracted from the source application.

Once the link status is set to 'active', any relevant transactions processed within the source application will be made available for processing by AFI. Any transactions processed by the source application prior to the link status being set to 'active' will not be processed by AFI.

The next time that relevant transactions are generated within the source application, they will be available for processing by AFI.

Note that for the Sales Order Processing application, any transactions which do not meet the selection criteria defined on the journal condition are automatically listed.

Code Structure

General Ledger

The following paragraphs are a guide to the main principles involved in using and creating account codes, but reading this section is no substitute for the good understanding of your company's chart of accounts, and a familiarity with the way in which account levels operate, which you will need in order to use the AFI-to-GL link successfully.

The chart of accounts establishes a coding structure for General Ledger accounts. Each ledger has its own account structure, so the structure of every account is dictated by its ledger.

An account number can be up to 42 characters long. The first 12 characters form the 'account code', and the last 30 characters the 'extension code'.

The account code and extension code are divided into 'levels'. The structure of the levels directly affects the way you enter account codes and should be examined before account structures are decided.

The account code has up to four possible levels. The maximum length of each level code is nine characters with the proviso that the total length of all level codes does not exceed twelve characters.

The extension code has up to five possible level codes, again defined by the ledger structure. The maximum length of any extension level code is fifteen characters with the proviso that the length of the extension code does not exceed thirty characters.

Although most users use the first 12 characters for fiscal codes and the last 30 for analysis, it is possible to specify any combination of level codes to form an account number or view.

Advanced Business Costing

The AFI account generation rule defines how selected data from a source application will be used to generate the analysis codes (allocation objects and lines) to be updated in ABC. Each account rule allows the definition of how the account coding record in ABC will be created, this record being able to hold up to four analysis codes. From this record ABC will be able to generate up to 16 individual posting records, depending upon the entry key definition.

Consolidation

General Ledger

When posting transactions to the General Ledger it is possible to consolidate, either by account code or by a specified field from the source application. For example, the goods values from a batch of sales invoices can be consolidated by sales region and posted to a target account as one transaction entry per sales region.

Consolidation is specified as part of the posting definition by indicating that the posting is 'consolidatable' and by specifying a consolidation control field. If no such control field is specified then consolidation takes place on the General Ledger account code itself.

Having defined on your posting definition how consolidation will take place, it is also necessary to specify at run-time that you require consolidation. If you are performing an automatic update of the General Ledger from the source application, the consolidation flag must be set to 1 in the Maintain Application option. If you are initiating the update to General Ledger manually, the consolidation flag needs to be set to 1 when performing the AFI to GL update, if this is not already the default.

It is also possible to consolidate across source sessions, i.e. where the data to be posted to the GL originates in more than one source session. The 'Consolidate across Source Sessions' flag must be set within the Maintain Application option. Consolidation across source sessions is controlled by period number - for example, if the source data covers more than one posting period a GL journal will be created for each of the periods. Therefore, data from more than one source period cannot be posted to a single GL period. An exception to this is if the source application data was generated in periods prior to the current GL period - in this case the source data is consolidated and posted to the current GL period.

Consolidation of VAT postings to GL is only allowed where the VAT codes are the same. Consolidation of VAT postings to GL does not affect postings to the VAT sub-system, which are never consolidated.



Note: Positive transaction values are consolidated together and negative values are consolidated together, but there is no consolidation of positive with negative values.

Advanced Business Costing

AFI consolidation flags do not apply to ABC. The options for consolidation are within ABC itself.

Posting Periods

General Ledger

Data is posted from the source application to the General Ledger based on the posting period of the source data. If the posting period of the source data is earlier than the current General Ledger period, the data will be posted to the current General Ledger period.

Advanced Business Costing

Data is posted from the source application to ABC based on the posting period of the source data. The ABC period updated will be determined from the maintenance option which allows the linkage between the source application period and the ABC relative fiscal year and period to be defined.

General Ledger Journals

For each journal condition created within AFI a General Ledger journal is created, providing that the source input data meets the selection criteria, that the journal status is "live" and that no consolidation has been specified. (Where consolidation is specified it will take place at the time of creating the posting to the General Ledger. At this point postings generated by different journal conditions may be consolidated together to become a single posting to the General Ledger.) AFI posting definitions specify the individual General Ledger account codes which will be posted to within the journal - these can be account codes specified directly or codes which are created by attaching account code rules to the posting definition.

A General Ledger journal has a limit of 99,999 account code postings. If this is exceeded a 'balancing' posting is automatically created to the suspense account nominated for this General Ledger company within AFI's Maintain Application. AFI then opens a further journal to account for any more postings yet to be made, again creating a posting to the suspense account to 'balance' the journal.

It is your responsibility to ensure that postings to suspense accounts are transferred to their correct destination account using the standard facilities of the General Ledger. Where postings to suspense accounts have been made, printed reports are automatically produced giving details of such postings. These can be used as a guide when directing suspense account postings to their correct accounts.

General Ledger Control Accounts

Posting to control accounts in the General Ledger is permitted by AFI, providing that the 'Post Inhibit' flag on the General Ledger account is set to C. Posting will not be allowed to accounts where the 'Post Inhibit' flag has a setting other than C or 'blank'. In such a case, the default posting account will be used. When setting up default posting accounts on your posting definitions, they will be validated to ensure that the 'post inhibit' flag is set to one of the permitted values.

Basic Financial Integrator (BFI)

When AFI is deactivated (set to 'inactive') for the Sales Order Processing or Service Management link, the posting of journals to the General Ledger is undertaken automatically by the Basic Financial Integrator (BFI).

You cannot modify or control the way that General Ledger journals are created by BFI - these postings are generated automatically.

You are not provided with access to BFI. Postings to accounts in the General Ledger occur as per the General Ledger accounts defined within the source application, with VAT postings controlled by the VAT information defined within the General Ledger.

The BFI is only used when the AFI is deactivated for the Sales Order Processing and Service Management links. If the AFI is deactivated for links to other applications, no postings at all will be made for those applications.